AREA Alberta Real Estate Association

COMMERCIAL MEMORANDUM OF UNDERSTANDING

(For use only with a commercial purchase contract that includes a business on the property)

This document is a worksheet only and does not form part of the Commercial Purchase Contract

With respect to the business operated on Property for sale described as:

Municipal Address _____

_____

Legal Address: Plan _____ Block _____ Lot _____

Condo. Plan _____ Legal Unit No. _____ Legal Parking Unit _____

Other _____

The parties acknowledge that this document is not a binding agreement but intends to outline a basic understanding between the parties of some of the items associated with the sale of the business included with the real property. The information contained is only intended to be used by the parties and their respective lawyers to draft an agreement.

1.1 Closing details specific to the business portion of the sale only

- ❑ Price attributed to the business portion of the sale: _____
- ❑ Deposit attributed to the business portion of the sale: _____
- ❑ Closing Date of the business: _____

1.2 The seller intends to grant exclusivity in the sale of the business to the buyer until _____.m on _____, 20____ to allow for the creation and signing of binding sale documents for this business in line with the information contained in this memorandum of understanding.

1.3 (a) Type of business: _____

Franchise ❑ yes ❑ no Notes: _____

(b) Type of transaction for the business portion:

❑ Asset Sale ❑ Share Sale ❑ Other: _____

(c) Assets intended for inclusion (check if applicable and provide context)

- ❑ Equipment: _____
- ❑ Furniture and fixtures: _____
- ❑ Leasehold improvements: _____
- ❑ Accounts Receivable: _____
- ❑ Inventory and supplies: _____
- ❑ Customer Contracts: _____
- ❑ Supplier Contracts: _____
- ❑ Licenses or other certification: _____
- ❑ Telephone numbers: _____
- ❑ Signage: _____
- ❑ Online assets (social media, email accounts, etc.): _____
- ❑ Website domains: _____
- ❑ Trademarks or Trade names: _____
- ❑ Other:

d) ❑ Assets intended for exclusion: _____

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(e) Liabilities intended to be assumed by the buyer (check if included and provide context)

❑ Accounts Payable: _____

❑ Trade Payables: _____

❑ Taxes Payable: _____

❑ Shareholder Loans: _____

❑ Long Term Debt: _____

❑ Warranty Obligations: _____

❑ Other: _____

1.4 The seller represents and discloses to the buyer the following information about the Sale:

(a) Above noted assets in normal working order ❑ yes ❑ no

Notes: _____

(b) Outstanding insurance claims ❑ yes ❑ no

Notes: _____

(c) All contracts are assignable ❑ yes ❑ no

Notes: _____

(d) Intellectual Property is assignable ❑ yes ❑ no

Notes: _____

(e) Employees assumed upon sale ❑ yes ❑ no

Notes: _____

(f) Any Personal Property leases ❑ yes ❑ no

Notes: _____

(g) Any financial charges registered against assets ❑ yes ❑ no

Notes: _____

(h) Any known environmental issues ❑ yes ❑ no

Notes: _____

2. CONDITIONS OF BUSINESS SALE

2.1 The seller and buyer intend to instruct their lawyers to include the following conditions in the final agreement for sale: (check all that apply)

❑ Due Diligence: _____

❑ Commercial Financing: _____

❑ Seller Continuity Employment agreement: _____

❑ Non-Competition, Non-Solicitation, & Confidentiality agreement: _____

❑ Regulatory Approvals: _____

❑ Other: _____

3. ADDITIONAL TERMS

3.1 The seller and buyer intend to instruct their lawyers to include the following additional terms in the final agreement for sale:

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